

LESSON 1

Introduction to IT in Business

IT Application Tools in Business | Accountancy

Information technology combines hardware, software, data, people, processes, and networks to help organizations collect, process, store, protect, and share information. This lesson explains how those elements support business operations and modern accountancy.

Learning objectives

- Define information technology and identify its six core components.
- Explain how IT supports business operations, communication, decisions, competitiveness, and security.
- Describe how IT improves transaction recording, reporting, auditing, taxation, analysis, accuracy, and compliance in accountancy.
- Identify common business and accounting-specific IT tools.

Definition of Information Technology

Information Technology, or IT, refers to the use of computers, software, networks, and other electronic systems to collect, process, store, protect, and share information.

IT includes hardware such as computers, servers, and networking devices, as well as software such as applications, databases, and accounting systems. Together, these resources help individuals and organizations manage data and make better decisions.

Components of Information Technology

Component	Purpose and examples
Hardware	Physical parts of a computer system, including computers, servers, keyboards, printers, and storage devices.
Software	Programs that direct hardware, including Excel, QuickBooks, SAP, and accounting systems.
Data	Raw facts processed into information, such as sales numbers, financial records, and customer lists.
People	Users who perform tasks and make decisions, including accountants, auditors, managers, and IT staff.
Processes	Rules and procedures for entering, processing, storing, and reporting information.
Networks and communication	Systems that connect computers and share information, including the internet, intranets, Wi-Fi, and cloud computing.

Role of IT in Business

IT has become a backbone of modern business and supports organizations in almost every area.

Automation of processes

IT reduces manual work and speeds up operations.

Example: Automated payroll systems and online banking transactions.

Efficient communication

IT enables fast, reliable communication across departments and with clients.

Example: Email, instant messaging, video conferencing, and team collaboration tools.

Data storage and management

IT systems can securely store and organize large amounts of information.

Example: Cloud storage for company files and financial records.

Decision-making support

IT gives managers timely data and reports for better decisions.

Example: Sales dashboards that show profit and loss trends.

Competitive advantage

Organizations use IT to innovate and respond to customers and competitors.

Example: Digital marketing, e-commerce, and online customer service.

Security of information

IT helps protect sensitive information from fraud, hacking, and unauthorized access.

Example: Encryption of financial transactions.

Role of IT in Accountancy

For accountants, IT is essential to modern practice because it makes financial processes faster, more accurate, and more reliable.

Recording transactions

IT systems support automatic entry and classification of transactions.

Example: QuickBooks records sales, expenses, and payroll.

Financial reporting

Accounting systems can generate financial statements quickly and consistently.

Example: Balance sheets, income statements, and cash flow statements.

Auditing and assurance

Audit tools help accountants find errors, unusual patterns, and possible fraud.

Example: ACL or IDEA can check data for inconsistencies.

Taxation

IT simplifies tax computation and electronic filing.

Example: eBIR forms in the Philippines and automated tax calculations.

Data analysis and decisions

Accountants can analyze financial data to support business strategy.

Example: Excel pivot tables for expense analysis.

Accuracy and error reduction

Automated calculations reduce mistakes caused by repeated manual computation.

Example: Spreadsheet formulas instead of hand calculations.

Compliance and regulations

Enterprise systems help accountants track requirements under financial standards and laws.

Example: SAP and Oracle ERP systems can support GAAP or IFRS compliance.

General Business IT Tools

Businesses use a range of tools for documents, analysis, communication, data storage, and security.

Microsoft Office

Word supports reports and documentation; Excel supports analysis, computations, and charts; PowerPoint supports presentations.

Email and communication

Outlook, Gmail, Microsoft Teams, Zoom, and Slack support workplace communication and collaboration.

Databases

Microsoft Access, MySQL, and Oracle Database organize and retrieve business information.

Cloud services

Google Drive, OneDrive, and Dropbox support file storage and collaboration.

Cybersecurity tools

Antivirus software, firewalls, and multi-factor authentication help protect systems and information.

Five Accounting-Specific IT Tools

These tools support different accounting needs, from spreadsheet analysis to integrated enterprise operations.

Microsoft Excel

A core accounting tool used for financial analysis, budgeting, forecasting, and financial statements.

QuickBooks

Popular with small and medium businesses for bookkeeping, payroll, invoicing, and expense tracking.

SAP

An enterprise system that integrates accounting with finance, human resources, and supply chain operations.

Xero

Cloud-based accounting software for invoicing, bank reconciliation, and expense management.

FreshBooks

Software for small businesses and freelancers that simplifies invoicing, expense tracking, and reporting.

Lesson summary

- IT combines technology, information, people, and procedures.
- Businesses use IT to automate work, communicate, manage information, support decisions, compete, and protect data.
- Accountants use IT throughout the accounting cycle, from recording transactions to compliance and reporting.
- The best tool depends on the task, organization size, workflow, and control requirements.